STX - Seagate Technology | Full Deep Dive

Full investment research | Model assumptions and source evidence

October 8, 2026 input update | Framework 8.0 | NOT HELD | BOTTLENECK - qualified HDD capacity / HAMR leadership | High Conviction

Analytical Base: 47/60 (78%). Valuation: 20x forward four-quarter adjusted operating profit.

Snapshot: USD 877.33 per share on September 21, 2026 close; 226.645 million shares, implying USD 198,842.03 million equity value. Source [STX-6]. Price is a dated header snapshot, not a valuation input in the body.

Active Q4 2027 ceiling: USD 1,298.74/share. Q1 2028: USD 1,377.30/share.

All financial model amounts are USD millions, shares in millions, unless stated. Calendar buckets map to the nearest fiscal quarter: Q3 2026 = FQ1 FY2027, Q4 = FQ2, Q1 2027 = FQ3 and Q2 = FQ4; this mapping repeats. Fiscal year ends around June. July 3 actuals are the June/Q2 bucket, not an extra quarter.

Spot-market scarcity and realized pricing

Morgan Stanley channel checks report recently closed **non-contracted nearline HDD deals at 3-5 cents/GB, or $30-50/TB**, with some higher observations. An exact-match secondary synopsis dates the note to October 5, 2026; the supplied crop itself has no visible date or author header. The original deal sample, product mix, geography, buyer size and payment terms are absent. These are attributed channel transactions, not company-reported blended ASPs or booked hyperscaler contract rates.

The same crop recalls June checks that suppliers sought **2.5-3 cents/GB ($25-30/TB) blended nearline pricing by CY2027/CY2028**, versus a cited 1.5 cents/GB comparison. Those are vendor aspirations reported by the broker. They are neither an issued price list nor a second demand event. The broker's 300 EB supply gap in 2026 and 400 EB in 2027/2028 are unmet-demand estimates, not saleable output. Broader neocloud, agentic and physical-AI retention reinforces the existing demand thesis; no additional exabyte volume is added.

Bounded commercial case

Assign **30% probability** that a limited part of qualified shipments realizes the pricing opportunity. Use the **$30/TB low endpoint** and expose **10% of already modeled, qualified shipped exabytes**. For each quarter, only the positive gap between $30 and the existing reference ASP is eligible. This subtraction removes the pricing already included in the model. The unexposed 90% captures fixed contracts, customer bargaining power and the limited reach of the observed spot sample. This exposure is an analytical bound, not a disclosed spot-sales mix.

The 30% weight reflects tangible reported transactions but limited evidence that they transmit to these companies' blended realizations. The realization phase is 25% in Q4 2026, 50% in Q1 2027, 75% in Q2 and 100% from Q3 2027 through Q4 2028. It fades to 75%, 50%, 25% and zero across 2029, remaining zero thereafter. This is a timing assumption for shipment and acceptance of new or repriceable orders. No premium is applied to Q3 2026. Repeated broker or social references receive full overlap with this one branch.

Weighted ASP increment = 30% × 10% × phase × MAX(0, $30 - reference ASP). Incremental revenue = already qualified shipped EB × weighted ASP increment. With EB and $/TB, the result is USD millions. Incremental revenue carries **10% COGS** for support, fulfillment and component cost and **3% operating expense**, leaving **87% incremental adjusted operating profit**. The COGS increment is allocated among HDD data-center products in proportion to their modeled revenue. Existing

production costs, R&D and SG&A remain. The 3% increment enters other opex. These are explicit bounded cost assumptions, not issuer marginal-cost guidance.

Active ASP equals the reference ASP, less the established **absolute Toshiba price concession**, plus this scarcity increment. The Toshiba dollar loss is not recalculated on the higher ASP. This prevents a new interaction penalty or double counting the two branches. Volumes, density, qualification factors, product mix, diluted-share schedule, the 20× F4Q adjusted-operating-profit method and Base score remain unchanged. The pricing evidence updates operating economics; it does not establish a new durable monopoly or warrant another score point.

Additionally, our checks uncovered important HDD demand and pricing-related updates. First, HDD demand has accelerated in the last 1-2 months - the core underlying driver of this acceleration wasn't pinned on any one specific workload or factor, but rather speaks to the growing criticality of data generation/retention as new AI workloads emerge. We believe agentic AI could represent one emerging incremental driver - relative to chatbot workloads, agents create more persistent data and context that must be retained across interactions, increasing storage intensity for HDDs. Second, demand is also broadening as storage capacity at CSPs is limited and NAND prices remain 17-20x HDD prices - for example, neoclouds have emerged as new buyers of HDDs (historically they relied on the CSPs). As have humanoid/physical AI companies. However, it seems HDD procurement is very challenging for this cohort given supply is still tracking ~300EB's below demand this year, and expanding to a 400EB gap in CY27/CY28 (this is helping tape too, FWIW). Lastly, pricing remains a key upside revenue/margin tailwind. Recall back in June we highlighted checks indicating the HDD vendors were targeting blended nearline pricing at 2.5-3c per gigabyte (vs. 1.5c/GB today) by CY27/CY28. Recently, we have heard about non-contracted nearline deals getting closed at 3-5c per GB, or $30-50 per terabyte, with even some examples of upside to these prices. While we can't yet extrapolate the breadth of these spot rates across the full nearline market, hearing about actual transactions clear 3–5c/GB provides tangible validation that the pricing assumptions underpinning our bull-case EPS are increasingly achievable.

Original Morgan Stanley HDD channel-check crop. Likely October 5, 2026 by matching dated synopsis; crop itself undated. Spot deals, blended supplier aspirations and unmet demand use distinct scopes.

Quarterly pricing and cost bridge

Quarter	Shipped EB	Reference $/TB	Phase	Weighted $/TB gain	Revenue gain $M	COGS $M	Opex $M	OP gain $M
Q3 2026	215.000	15.698	0.00%	0.000	0.000	0.000	0.000	0.000
Q4 2026	230.000	16.169	25.00%	0.104	23.859	2.386	0.716	20.757
Q1 2027	244.000	16.654	50.00%	0.200	48.848	4.885	1.465	42.497
Q2 2027	258.000	16.987	75.00%	0.293	75.542	7.554	2.266	65.722
Q3 2027	270.000	17.326	100.00%	0.380	102.656	10.266	3.080	89.310
Q4 2027	285.000	17.500	100.00%	0.375	106.877	10.688	3.206	92.983
Q1 2028	303.000	17.500	100.00%	0.375	113.627	11.363	3.409	98.856
Q2 2028	321.000	17.500	100.00%	0.375	120.378	12.038	3.611	104.728
Q3 2028	336.000	17.500	100.00%	0.375	126.003	12.600	3.780	109.622
Q4 2028	355.500	17.500	100.00%	0.375	133.315	13.332	3.999	115.984
Q1 2029	370.000	17.456	75.00%	0.282	104.430	10.443	3.133	90.854
Q2 2029	385.000	17.412	50.00%	0.189	72.696	7.270	2.181	63.245
Q3 2029	405.000	17.368	25.00%	0.095	38.369	3.837	1.151	33.381
Q4 2029	426.000	17.325	0.00%	0.000	0.000	0.000	0.000	0.000
Q1 2030	450.000	17.237	0.00%	0.000	0.000	0.000	0.000	0.000
Q2 2030	470.000	17.151	0.00%	0.000	0.000	0.000	0.000	0.000
Q3 2030	495.000	17.064	0.00%	0.000	0.000	0.000	0.000	0.000
Q4 2030	520.000	16.978	0.00%	0.000	0.000	0.000	0.000	0.000

The Q4 2027-Q3 2028 valuation window contains **$466.884880M incremental revenue and $406.189846M incremental adjusted OP**. Total active F4Q OP is **$15,000.427393M**, valued at 20× with 231.000M diluted shares, yielding **$1,298.738302/share**. Analytical and portfolio Excel Base are both **78/100**. These current outputs include the selected branch once.

Counter-evidence and next checks: fixed-volume/price LTAs can insulate most shipments; a few scarce-drive transactions may include distributor margins or urgent delivery premiums that do not reach manufacturers. Drive density, Toshiba expansion, improved yields or customer inventory digestion can close the shortage. Recheck realized $/TB, shipment mix, new-contract terms, customer acceptance and incremental component/support cost at the next issuer results and through 2027 renewals. Lower the branch if spot transactions fail to reach new-order realizations; increase exposure only with a defined qualified, accepted shipment pool. The NAND/HDD 17-20× comparison has unresolved product and contract scope and supplies no separate model input.

Dated secondary synopsis used solely to reconstruct source identity. The image itself is the supplied evidence; the synopsis is not independent confirmation of transaction economics.

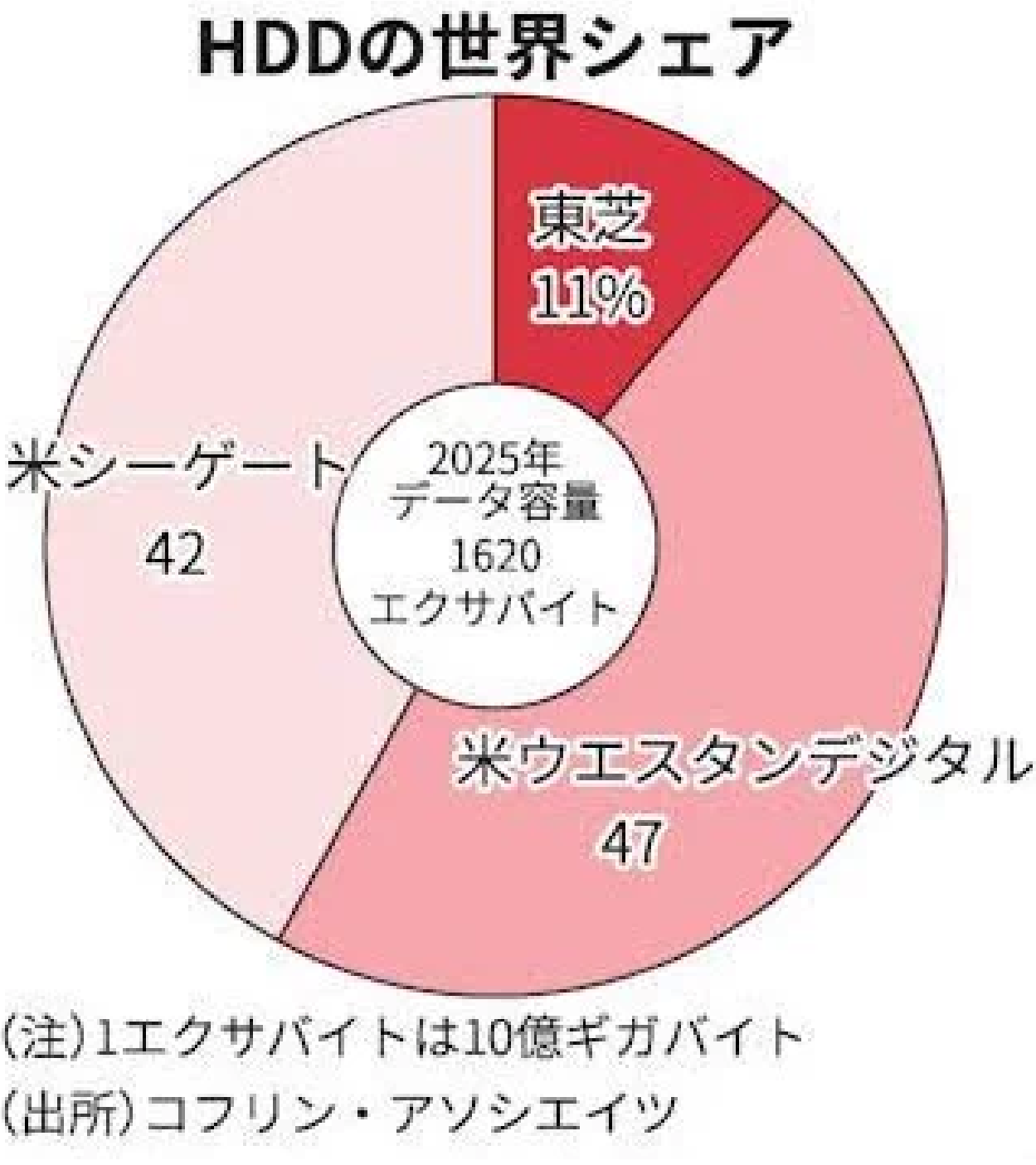
Qualified competitor supply and the pricing channel

Toshiba's October 2 issuer release says the expanded Laguna Technopark nearline HDD line has made its first shipments. TIP targets nearly twice its FY2025 annual production by FY2027 **on a storage-capacity basis**. This measures bytes, not drive units, and Toshiba FY2027 ends in March 2028. Exact monthly accepted exabytes, utilization and ASP are undisclosed. Density gains are not added again to the stated capacity target.

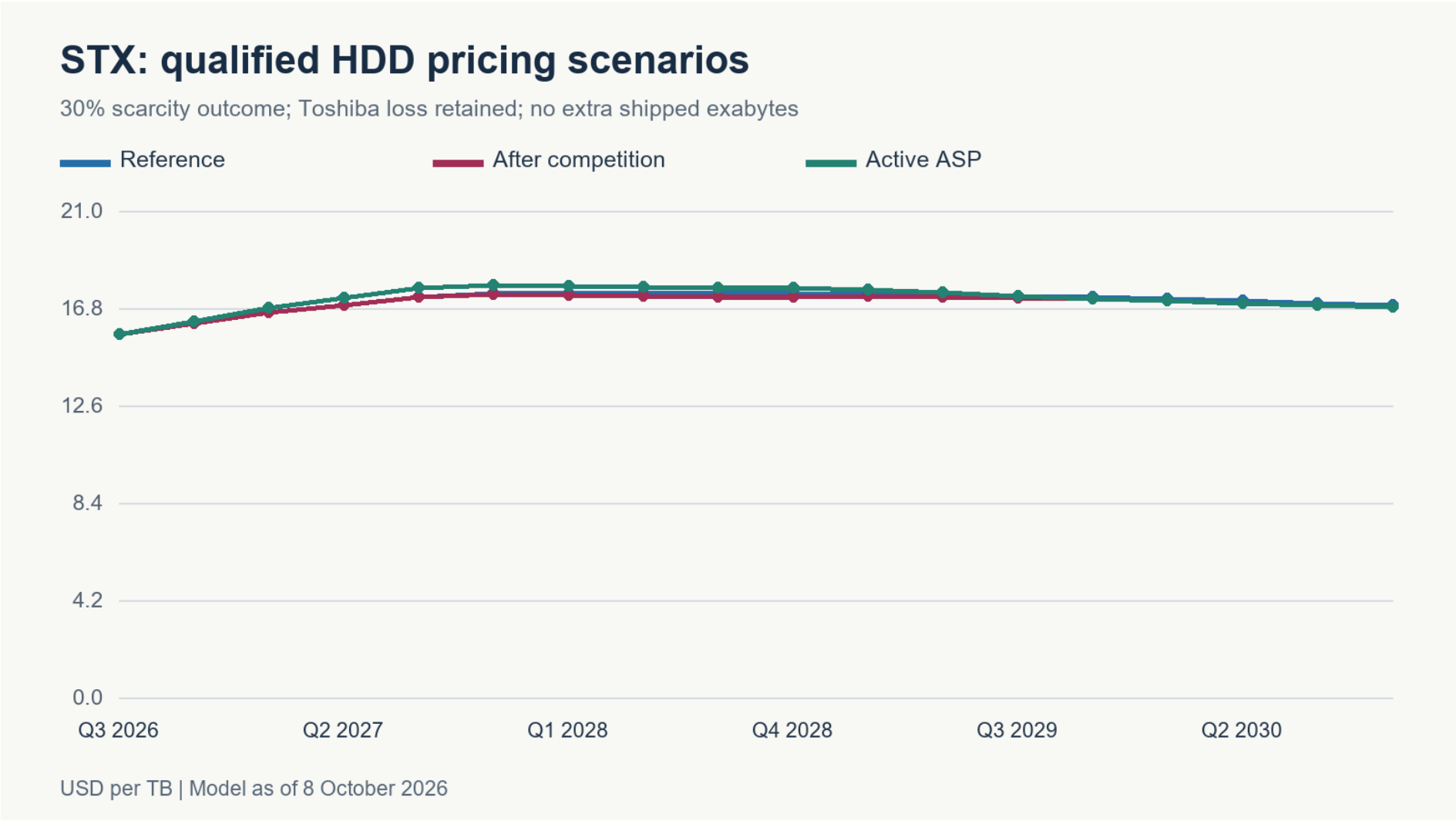
The existing competitor branch assigns **50% probability to a 4% concession on 50% of new or repriceable cloud/data-center revenue**. Its full-ramp probability-weighted reduction is 1% of the reference price. The phase is 25% in Q4 2027, 50% in Q1 2028, 75% in Q2 and full from Q3 2028. From 2029, deduct 50% overlap with normalization already in the reference. Initial shipments establish an execution milestone, not immediate renewal of every customer contract. Demand absorption, qualification and protected contracts limit the economic outcome.

This absolute price/OP loss is retained alongside the separate scarcity branch. At unchanged volume, a price concession does not remove production costs. No extra unit loss is assigned. A later technology expansion discussed for 2030 must not erase the issuer's initial-shipment milestone or be conflated with the same capacity denominator. Competition remains a scored risk.

Toshiba original release, October 2. Reposts describe the same event. The capacity target is not proof of full output.



Nikkei/Techno Systems Research exhibit supplied in the DOT digest: 2025 HDD share by storage capacity, not units or revenue. Toshiba 11%, Western Digital 47%, Seagate 42%; total 1,620 EB. The chart does not quantify the new factory output.



STX: qualified HDD pricing scenarios. USD per TB. 30% scarcity outcome; Toshiba loss retained; no extra shipped exabytes

Quarter	Reference ASP	Toshiba-only ASP	Active ASP	Toshiba OP loss $M
Q3 2026	15.698	15.698	15.698	0.000
Q4 2026	16.169	16.169	16.272	0.000
Q1 2027	16.654	16.654	16.854	0.000

Quarter	Reference ASP	Toshiba-only ASP	Active ASP	Toshiba OP loss $M
Q2 2027	16.987	16.987	17.280	0.000
Q3 2027	17.326	17.326	17.707	0.000
Q4 2027	17.500	17.456	17.831	-12.469
Q1 2028	17.500	17.412	17.787	-26.512
Q2 2028	17.500	17.368	17.743	-42.131
Q3 2028	17.500	17.325	17.700	-58.799
Q4 2028	17.500	17.325	17.700	-62.212
Q1 2029	17.456	17.369	17.651	-32.293
Q2 2029	17.412	17.325	17.514	-33.518
Q3 2029	17.368	17.281	17.376	-35.171
Q4 2029	17.325	17.238	17.238	-36.902
Q1 2030	17.237	17.151	17.151	-38.784
Q2 2030	17.151	17.065	17.065	-40.304
Q3 2030	17.064	16.979	16.979	-42.234
Q4 2030	16.978	16.893	16.893	-44.143

1. Thesis, bottleneck and expanded TAM

Seagate supplies the low-cost, persistent capacity tier of the AI data center. Increasing data creation and retention expands demand even after a GPU is installed. Qualification, precision heads/media fabrication and a limited number of viable HDD manufacturers restrict how quickly demand can be met. The investment thesis is rising exabytes and better economics per drive, not rising PC units.

The bottleneck is commercially durable but not an irreplaceable single-supplier monopoly. HAMR uses localized heating to write smaller magnetic grains; Seagate combines that recording architecture with established manufacturing and customer qualification. Mozaic creates a production lead, while Western Digital and Toshiba remain alternatives. A technical lead earns Core credit; it does not establish exclusivity across future generations. [STX-2, STX-3]

AI video, persistent context and later physical AI broaden the storage opportunity. HDDs hold economical persistent data; HBM/DRAM and SSDs serve active, latency-sensitive computation. The model does not assume HDD directly replaces HBM or that all tokens and video are retained forever. No separate robotics or KV-cache revenue is added on top of the same exabytes.

Competitive check: Western Digital is the most direct large-scale rival; Toshiba remains an HDD producer. NAND suppliers compete at storage-tier boundaries, but current NAND price increases also support HDD economics at the edge. Small photonics companies supply different laser markets and are not a demonstrated substitute for a qualified nearline HDD platform. No credible microcap direct competitor was identified in the filings reviewed. Seagate integrated recording lasers are not automatically a merchant CW-laser revenue opportunity for Sivers. [STX-2, STX-3]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
2026-27: disclosed ramp	Cloud and enterprise capacity; HAMR takes share within Seagate	No additive HAMR TAM. New drives replace PMR within shipped EB.
2028-29: retention and density	Agentic context, video and wider enterprise adoption	Demand index increases, capped by exabyte supply; no GPU-to-HDD attach ratio assumed.
2030+: physical AI	Robotics, autonomous systems and repeated training data	Embedded only in the modest retention index; no separately priced speculative business.

AH-12 / Plan-B demand bridge: customer identities and supplier wallet shares are confidential. Amazon, Microsoft, Alphabet and Meta form a representative spending basket, not a claim that each is a disclosed Seagate customer. Their latest CY2026 capex figures are $220B, $175B, $200B midpoint and $137.5B midpoint respectively, totaling $732.5B [D1-D4]. Definitions differ: Amazon is cash capex, Meta includes finance-lease principal, and Microsoft changed lease classification; the basket is a demand index, not HDD TAM. Memory inflation is not extra physical demand. Calibrate one effective supplier coefficient against the latest actual quarter: $2,932M / ($732,500M / 4) = 1.60109%. Applying it to the quarterly run-rate basket reproduces $2,932M exactly (0.0% calibration error). This coefficient embeds non-basket cloud/enterprise business; individual customer shares are NOT separately knowable. Calibration of one point does not establish forecast accuracy. Each customer is extended at the same analyst-assumed capex growth: +25% in 2027, +20% in 2028, +14% in 2029 and +10% in 2030. Thus basket capex is $915.625B, $1,098.750B, $1,252.575B and $1,377.833B. Quarterly allocation is one quarter of each annual total, a normalization rather than a forecast of actual quarterly cash spending. Demand EB = 195 anchor EB x (basket capex / $732.5B) x retained-data intensity. Intensity equals 1.15 / 1.20 in Q3/Q4 2026, 1.25 in 2027-28, 1.30 in 2029 and 1.45 in 2030; these LOW-confidence analyst indices represent accumulating installed-base data. Shipped EB = MIN(demand EB, manufacturing capacity EB). Revenue then equals shipped EB x modeled USD/TB, with no second capex multiplier. Capacity, demand, mix and ASP are separately visible below. This is a calibrated proxy, not a company-disclosed customer model.

2. Latest evidence and financial anchor

Latest two earnings calls reviewed: April 28 and July 28, 2026, including management answers. April emphasized build-to-order visibility, capacity per disk, and modest operating-cost growth. That establishes the operating mechanism; the July financial release and September outlook are the current numerical anchors. [STX-1, STX-3, STX-4]

July management reported 195 data-center EB and 40% HAMR nearline mix. Mozaic 4+ was ramping at two large cloud customers; its next milestone is 50% of HAMR exabytes by calendar year-end, distinct from overall HAMR share. Mozaic 5+ qualification shipments are targeted for late 2027. Fiscal 2027 revenue growth is expected to exceed fiscal 2026 growth of 34%, with sequential profit improvement. [STX-3]

The September 10 management update supports the continuing pricing, areal-density and buyback direction. It reaffirmed the year-end HAMR crossover and described an 80-90% data-center HAMR mix in roughly two years. The model uses 85% by Q2 2028 and 88% in Q3. These are mix assumptions informed by management, not independent booked orders. [STX-5]

Period	Status	Revenue	Gross profit	Operating profit	Source
Q1 2026 / FQ3 FY26	Actual adjusted	3,112.00	1,463.00	1,167.00	STX-4
Q2 2026 / FQ4 FY26	Actual GAAP	3,629.00	1,898.00	1,559.00	STX-1
Q2 2026 / FQ4 FY26	Actual adjusted	3,629.00	1,912.00	1,619.00	STX-1

Financial calibration: Q2 reported data-center revenue is the $3,629M total less $697M edge/IoT = $2,932M. At 195 EB this is $15.036/TB. For an illustrative three-vector reconstruction of that actual quarter, assume 40% HAMR EB mix and a 4% HAMR price/TB premium: HAMR revenue $1,200.50M, other data-center revenue $1,731.50M, edge $697M. HAMR GM of 61% and edge GM of 35% imply other data-center GM of 54.04% to reproduce $1,912M adjusted GP. These are calibration proxies, not disclosed product profits. The actual exit-run-rate HAMR mix need not equal quarter-average mix, which limits this decomposition. GAAP-to-adjusted bridge: GP +$14M and opex -$46M produce the $60M OP difference. Ordinary production depreciation remains in gross profit. [STX-1]

Current FQ1 FY2027 guide is revenue $4,100M +/- $100M, adjusted opex about $300M and adjusted operating margin around 50%. The first modeled quarter matches the midpoint: revenue $4,100M, GP $2,350M (57.32%), opex $300M, OP $2,050M. The split is $3,375M data center and $725M edge; 215 shipped EB imply $15.698/TB. Product GMs are calibrated to the guided total, not presented as management segment guidance. September adjusted EPS guide of $7.30 +/- $0.20 is a cross-check, not the valuation input. [STX-1, STX-3]

Balance sheet and capital allocation

Year-end cash was about $1.7B against $3.6B debt; FY2026 free cash flow was about $3.1B. Fiscal 2027 capex is targeted at 4-6% of revenue. Management is retiring more debt and directing later cash generation toward repurchases. The model holds diluted shares constant rather than estimating repurchased shares using an assumed future stock price. Interest and debt repayment affect cash/equity risk but do not enter the framework OP ceiling. [STX-1, STX-3, STX-5]

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis	18	Hard-to-replicate heads/media and HAMR platform; competitive oligopoly prevents full monopoly credit
Cycle Stage	9	Commercial HAMR ramp and contracts support near-term visibility
TAM Expansion	8	Installed data and AI retention increase exabytes; supply bounds capture
Catalysts	5	Year-end mix crossover, FY2027 ramp, late-2027 next-generation qualification
Macro	9	Cloud spending and persistent data creation; customer construction constraints remain
Alpha	2	Widely covered; analytical edge is capacity/mix decomposition rather than discovery
Risks	-4	Four independent risk classes below
Total	47/60 = 78%	High Conviction

47/60 = 78% (High Conviction). Strong capacity scarcity and an established technology ramp justify the score. Four risk points are counted once each. Price and recent stock performance have no effect on Base. Classification remains BOTTLENECK rather than permanent CHOKEPOINT.

4. Quarterly operating model

Three vectors: HAMR data-center drives, other data-center drives and edge/IoT. For each quarter, capacity-limited shipped EB is split by HAMR share. A 4% analyst-assumed HAMR price/TB premium is normalized so the two prices weight back to the displayed blended price. HAMR revenue = EB x HAMR share x HAMR USD/TB; PMR revenue = EB x (1 - HAMR share) x other USD/TB. With millions of dollars and EB, the conversion factor is one. Each vector has its own GP trajectory. Reference R&D and SG&A are held in dollars for the incremental pricing branch; the split of guided opex uses 56%/44%, informed by the reported product-development/marketing mix. No EBITDA substitution.

Revenue vector	Driver and source	Confidence
HAMR data-center drives	STX-3/4/5: qualified ramp and mix milestones; calibrated EB x ASP, analyst supply and premium estimates.	MEDIUM through 2027; LOW 2028-30
Other data-center drives	STX-1/3: actual total less edge, residual EB after HAMR; explicit cannibalization.	MEDIUM through 2027; LOW 2028-30
Edge and IoT	STX-3/5: $697M actual, constrained stable volume and NAND-related pricing support; modest seasonal extension.	MEDIUM Q3 2026; LOW thereafter

Capacity starts at 215 EB, rises to 285 EB by Q4 2027 and 520 EB by Q4 2030. The quarterly profile represents improving yield and platter density with approximately stable drive units; 2028 shipped capacity rises about 25% on matched quarters. It is a supply estimate, not claimed factory guidance. Reference ASP rises 3%, 3%, 2%, 2%, 1% sequentially through Q4 2027, is flat in 2028, then eases 1% annually in 2029 and 2% in 2030. The active ASP applies the two explicit pricing branches above. These assumptions extend current contract momentum without importing NAND inflation. Reference HAMR GP margin reaches 70%, other DC 55%, and edge

43%; cost/mix, not endless price hikes, drive the margin shift. Later margins are LOW confidence. Reference opex grows from $300M to $379M per quarter before the 3% incremental pricing-support charge, with R&D/SG&A percentages falling as revenue scales. Ordinary production depreciation is inside product GM; stock compensation is excluded consistently with the adjusted financial basis and represented in the flat diluted-share assumption.

Physical and commercial drivers

Quarter	Demand EB	Capacity EB	Shipped EB	Active USD/TB	HAMR share
Q3 2026	224.250	215.000	215.000	15.698	45.00%
Q4 2026	234.000	230.000	230.000	16.272	50.00%
Q1 2027	304.688	244.000	244.000	16.854	60.00%
Q2 2027	304.688	258.000	258.000	17.280	70.00%
Q3 2027	304.688	270.000	270.000	17.707	75.00%
Q4 2027	304.688	285.000	285.000	17.831	80.00%
Q1 2028	365.625	303.000	303.000	17.787	82.00%
Q2 2028	365.625	321.000	321.000	17.743	85.00%
Q3 2028	365.625	336.000	336.000	17.700	88.00%
Q4 2028	365.625	355.500	355.500	17.700	90.00%
Q1 2029	433.485	370.000	370.000	17.651	91.00%
Q2 2029	433.485	385.000	385.000	17.514	92.00%
Q3 2029	433.485	405.000	405.000	17.376	93.00%
Q4 2029	433.485	426.000	426.000	17.238	94.00%
Q1 2030	531.853	450.000	450.000	17.151	95.00%
Q2 2030	531.853	470.000	470.000	17.065	95.50%
Q3 2030	531.853	495.000	495.000	16.979	96.00%
Q4 2030	531.853	520.000	520.000	16.893	96.50%

Demand, capacity, allocation and qualification factors remain as modeled. Active price combines the reference, retained Toshiba concession and scarcity increment. Relative product-price premiums remain normalized to the blended ASP. Neither supplier density nor unmet industry demand becomes extra customer shipments.

HAMR data-center drives

Quarter	Revenue $M	COGS $M	Gross margin	Gross profit $M
Q3 2026	1,551.572	543.050	65.00%	1,008.522
Q4 2026	1,908.012	645.805	66.15%	1,262.207
Q1 2027	2,505.958	820.120	67.27%	1,685.838
Q2 2027	3,157.112	1,014.025	67.88%	2,143.087
Q3 2027	3,620.414	1,141.430	68.47%	2,478.984
Q4 2027	4,096.982	1,255.086	69.37%	2,841.896
Q1 2028	4,450.228	1,357.897	69.49%	3,092.331
Q2 2028	4,869.405	1,475.057	69.71%	3,394.349
Q3 2028	5,257.727	1,581.030	69.93%	3,676.697
Q4 2028	5,684.899	1,698.242	70.13%	3,986.657
Q1 2029	5,963.663	1,778.873	70.17%	4,184.790
Q2 2029	6,222.526	1,862.620	70.07%	4,359.906
Q3 2029	6,562.421	1,971.410	69.96%	4,591.011
Q4 2029	6,918.797	2,086.069	69.85%	4,832.728
Q1 2030	7,346.295	2,214.963	69.85%	5,131.332
Q2 2030	7,672.844	2,313.420	69.85%	5,359.423
Q3 2030	8,080.801	2,436.422	69.85%	5,644.379
Q4 2030	8,488.511	2,559.350	69.85%	5,929.161

Other data-center drives

Quarter	Revenue $M	COGS $M	Gross margin	Gross profit $M
Q3 2026	1,823.428	771.950	57.66%	1,051.478
Q4 2026	1,834.627	766.801	58.20%	1,067.826
Q1 2027	1,606.383	668.575	58.38%	937.808
Q2 2027	1,301.008	539.369	58.54%	761.639
Q3 2027	1,160.389	485.067	58.20%	675.322
Q4 2027	984.851	417.690	57.59%	567.161
Q1 2028	939.307	403.974	56.99%	535.333
Q2 2028	826.257	360.305	56.39%	465.952
Q3 2028	689.387	304.771	55.79%	384.616
Q4 2028	607.361	271.511	55.30%	335.850
Q1 2029	567.128	253.295	55.34%	313.832
Q2 2029	520.278	233.326	55.15%	286.952
Q3 2029	474.948	213.888	54.97%	261.059
Q4 2029	424.640	192.048	54.77%	232.592
Q1 2030	371.776	168.140	54.77%	203.636
Q2 2030	347.642	157.225	54.77%	190.417
Q3 2030	323.750	146.420	54.77%	177.330
Q4 2030	296.032	133.884	54.77%	162.148

Edge and IoT

Quarter	Revenue $M	COGS $M	Gross margin	Gross profit $M
Q3 2026	725.000	435.000	40.00%	290.000
Q4 2026	760.000	448.400	41.00%	311.600
Q1 2027	745.000	439.550	41.00%	305.450
Q2 2027	765.000	447.525	41.50%	317.475
Q3 2027	780.000	452.400	42.00%	327.600
Q4 2027	805.000	466.900	42.00%	338.100
Q1 2028	785.000	455.300	42.00%	329.700
Q2 2028	800.000	464.000	42.00%	336.000
Q3 2028	815.000	472.700	42.00%	342.300
Q4 2028	840.000	487.200	42.00%	352.800
Q1 2029	810.000	465.750	42.50%	344.250
Q2 2029	825.000	474.375	42.50%	350.625
Q3 2029	840.000	483.000	42.50%	357.000
Q4 2029	865.000	497.375	42.50%	367.625
Q1 2030	830.000	473.100	43.00%	356.900
Q2 2030	845.000	481.650	43.00%	363.350
Q3 2030	860.000	490.200	43.00%	369.800
Q4 2030	885.000	504.450	43.00%	380.550

Consolidated operating forecast



STX: revenue and operating profit. USD millions. Model assumptions, not company guidance

Quarter	Revenue	COGS	GP	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	4,100.000	1,750.000	2,350.000	168.000	132.000	0.000	2,050.000	50.00%
Q4 2026	4,502.638	1,861.005	2,641.633	169.680	133.320	0.716	2,337.917	51.92%

Quarter	Revenue	COGS	GP	R&D	SG&A	Other opex	OP	OP margin
Q1 2027	4,857.341	1,928.245	2,929.096	171.360	134.640	1.465	2,621.631	53.97%
Q2 2027	5,223.120	2,000.918	3,222.201	173.040	135.960	2.266	2,910.935	55.73%
Q3 2027	5,560.803	2,078.897	3,481.905	174.720	137.280	3.080	3,166.826	56.95%
Q4 2027	5,886.833	2,139.676	3,747.157	176.400	138.600	3.206	3,428.951	58.25%
Q1 2028	6,174.535	2,217.172	3,957.363	179.200	140.800	3.409	3,633.954	58.85%
Q2 2028	6,495.662	2,299.362	4,196.300	182.000	143.000	3.611	3,867.689	59.54%
Q3 2028	6,762.115	2,358.502	4,403.613	184.800	145.200	3.780	4,069.833	60.19%
Q4 2028	7,132.260	2,456.953	4,675.307	187.600	147.400	3.999	4,336.307	60.80%
Q1 2029	7,340.791	2,497.919	4,842.872	190.400	149.600	3.133	4,499.739	61.30%
Q2 2029	7,567.804	2,570.321	4,997.483	193.200	151.800	2.181	4,650.302	61.45%
Q3 2029	7,877.369	2,668.298	5,209.071	196.000	154.000	1.151	4,857.920	61.67%
Q4 2029	8,208.437	2,775.493	5,432.944	198.800	156.200	0.000	5,077.944	61.86%
Q1 2030	8,548.071	2,856.203	5,691.868	202.160	158.840	0.000	5,330.868	62.36%
Q2 2030	8,865.485	2,952.295	5,913.190	205.520	161.480	0.000	5,546.190	62.56%
Q3 2030	9,264.551	3,073.042	6,191.509	208.880	164.120	0.000	5,818.509	62.80%
Q4 2030	9,669.543	3,197.684	6,471.859	212.240	166.760	0.000	6,092.859	63.01%

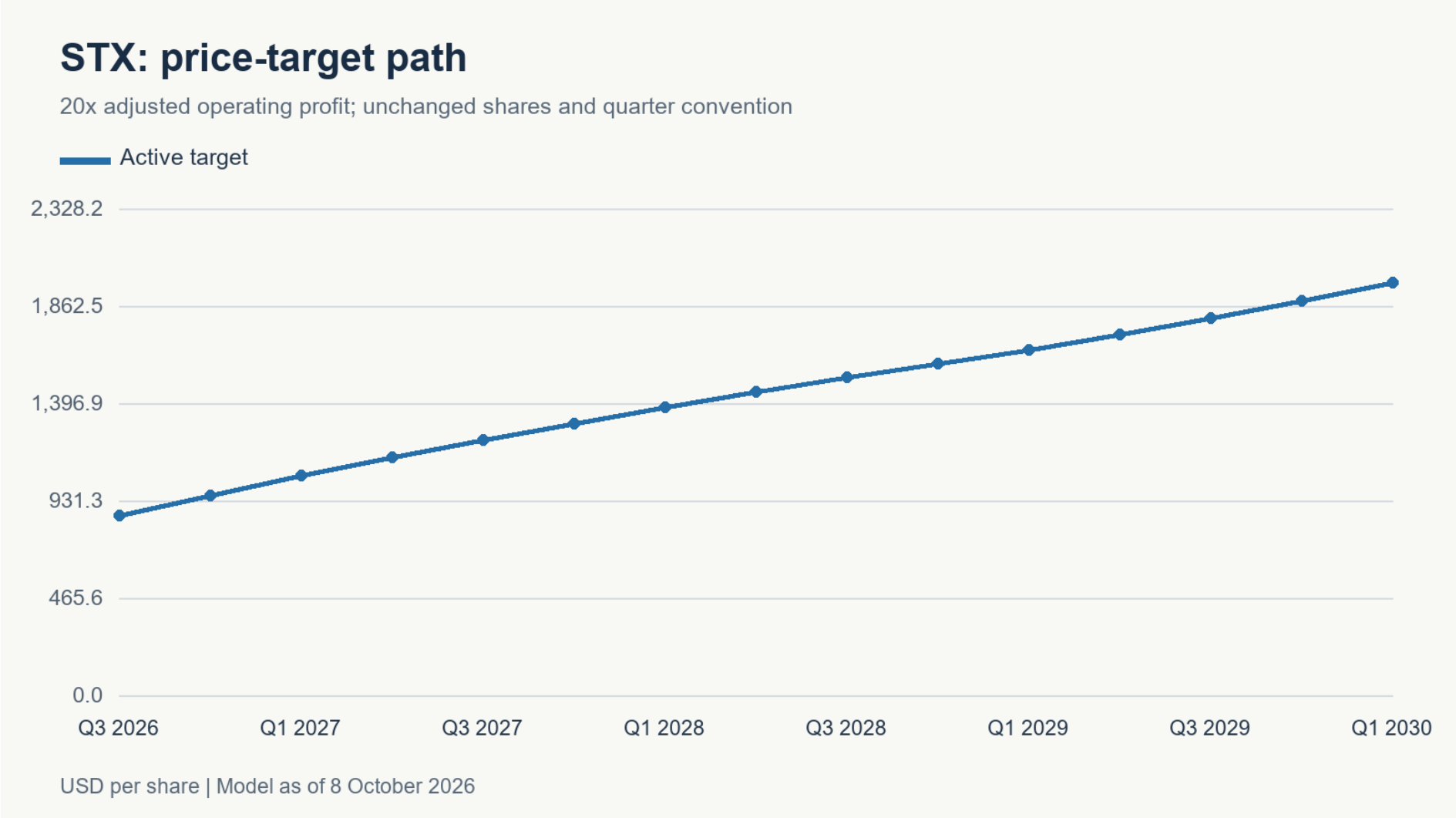
All forecast quarters are analyst estimates. Ordinary production depreciation remains in COGS; the sanctioned adjusted basis is retained. Pricing scenarios enter revenue/costs once, with no extra probability applied to the target.

Calendar and fiscal reconciliation

Calendar year	Coverage	Revenue	GP	OP	OP margin
2026	2 quarters	8,602.638	4,991.633	4,387.917	51.01%
2027	4 quarters	21,528.097	13,380.361	12,128.343	56.34%
2028	4 quarters	26,564.572	17,232.583	15,907.784	59.88%
2029	4 quarters	30,994.400	20,482.370	19,085.905	61.58%
2030	4 quarters	36,347.651	24,268.426	22,788.426	62.70%

Fiscal year ending around June	Revenue	OP
FY2027	18,683.099	9,920.483
FY2028	24,117.833	14,097.420
FY2029	28,802.969	17,556.182
FY2030	33,499.362	20,812.922

5. Forward-four-quarter ceiling derivation



STX: price-target path. USD per share. 20x adjusted operating profit; unchanged shares and quarter convention

Ceiling quarter	Earnings window	F4Q OP $M	Multiple	Diluted shares M	Ceiling USD
Q3 2026	Q3 2026 to Q2 2027	9,920.483	20.0x	231.000	858.916309
Q4 2026	Q4 2026 to Q3 2027	11,037.309	20.0x	231.000	955.611181

Ceiling quarter	Earnings window	F4Q OP $M	Multiple	Diluted shares M	Ceiling USD
Q1 2027	Q1 2027 to Q4 2027	12,128.343	20.0x	231.000	1,050.072985
Q2 2027	Q2 2027 to Q1 2028	13,140.666	20.0x	231.000	1,137.720041
Q3 2027	Q3 2027 to Q2 2028	14,097.420	20.0x	231.000	1,220.555877
Q4 2027	Q4 2027 to Q3 2028	15,000.427	20.0x	231.000	1,298.738302
Q1 2028	Q1 2028 to Q4 2028	15,907.784	20.0x	231.000	1,377.297287
Q2 2028	Q2 2028 to Q1 2029	16,773.568	20.0x	231.000	1,452.257005
Q3 2028	Q3 2028 to Q2 2029	17,556.182	20.0x	231.000	1,520.015727
Q4 2028	Q4 2028 to Q3 2029	18,344.269	20.0x	231.000	1,588.248355
Q1 2029	Q1 2029 to Q4 2029	19,085.905	20.0x	231.000	1,652.459341
Q2 2029	Q2 2029 to Q1 2030	19,917.034	20.0x	231.000	1,724.418545
Q3 2029	Q3 2029 to Q2 2030	20,812.922	20.0x	231.000	1,801.984602
Q4 2029	Q4 2029 to Q3 2030	21,773.511	20.0x	231.000	1,885.152509
Q1 2030	Q1 2030 to Q4 2030	22,788.426	20.0x	231.000	1,973.023939

For each row, F4Q OP is the sum of four consecutive operating quarters beginning at the named quarter. Ceiling = F4Q OP × 20 / that quarter's diluted-share denominator. No separate net-income, EBITDA or enterprise-value method replaces the sanctioned basis.

Q4 2027 worked example: (3,428.951018 + 3,633.954493 + 3,867.689099 + 4,069.832783) × 20 / 231.000000 = **1,298.738302 USD/share**.

Additional shares	Q4 2027 ceiling
0.00%	1,298.7383
5.00%	1,236.8936
10.00%	1,180.6712

6. Cross-book relationships and monitoring

STX <-> WDC: monitor EB growth, HAMR qualification, price/TB, unit discipline and warranty experience as a paired competitive watch. An industry benefit is not automatically share gain for both.

STX <-> SNDK / Kioxia / Samsung / SK hynix / Micron: shared data growth supports tiered storage; NAND inflation can aid HDD price realization in overlapping edge uses, but the prior +23%/+20%/+15% NAND path is NOT applied to HDD ASPs.

STX <-> hyperscaler holdings: spending and deployment delays are common exposures. Optical, networking, compute and storage budgets are complementary pieces of the same infrastructure spend; do not sum their TAMs into Seagate revenue.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Temporal demand / customer concentration	-1	Large cloud buyers can defer deployment because of power, permitting or inventory; allocation is not an unconditional shipment guarantee.
Technology and manufacturing execution	-1	HAMR yield, quality, tool-cycle time and qualification delays can limit exabytes or elevate warranty costs.
Structural competition / storage substitution	-1	WDC/Toshiba density progress and improving SSD economics can reduce the pricing premium and retention wallet.
Financial and policy exposure	-1	Debt service, capital spending, export restrictions and manufacturing geography can interrupt cash returns or customer access.

Dated triggers and counters

The next issuer results and 2027 new-order renewals must reconcile realized price per TB and shipped exabytes to the reported spot-market opportunity. A high distributor spot quote without manufacturer net realization reduces the pricing branch, even when demand remains strong.

Checkpoint	Positive evidence	Counter / model action
1. October 2026 result	Q3 revenue near guide and about 50% adjusted OP margin	Below $4.0B or a margin miss requires a shipment/price/cost bridge, not an automatic extrapolation.
2. December 2026	HAMR >=50% nearline EB; Mozaic 4+ >=50% of HAMR EB	Separate these denominators; reduce advanced mix if either ramp misses.
3. FY2027 / June 2027	Revenue growth above 34%; continued sequential profitability	Rebuild capacity and ASP if growth or pricing stalls; no unapproved Base overwrite.
4. Late 2027 through 2028	Mozaic 5+ qualification then accepted volume shipments	Qualification alone is not full-volume revenue; hold back density steps on delay.
5. Every quarterly filing	Exabytes, costs and cash support the share/opex assumptions	Unexpected dilution or capex above 6% resets the relevant inputs.

Evidence confidence: near-term consolidated guidance is HIGH; inferred product mix and product margins are MEDIUM/LOW; 2028-30 projections are LOW. All modeled quarters are Model, and actuals are separately labeled. No standalone unqualified pipeline is added: no probability adjustment is applied again at the ceiling. If a new speculative adjacency is added later, require a sourced pool, an explicit probability at revenue, timing and cannibalization before including it. Customer-level shares and contract price schedules are unavailable. The model quantifies one base case, not a guarantee of realization. A current Yahoo high-revenue-estimate table could not be retrieved, so the framework high-estimate cross-check is unavailable; no stale search-snippet estimate is treated as a model floor.

8. Sources and snapshot

- **HDD-P1** - Supplied Morgan Stanley channel-check crop HT9RXOCXIAAfTJQ.jpg, reviewed October 8, 2026. October 5 date is inferred from the exact-match secondary synopsis; crop is undated. Original pixels embedded above. Deal sample and full broker report remain unavailable.
- **STX-1** - July 2026 reporting. FY2026 Q4 financial release and GAAP reconciliation. Latest reported results and FQ1 FY2027 guide.
- **STX-2** - August 2026 filing. FY2026 Form 10-K. Competition, customer structure, risks and July 31 basic shares.
- **STX-3** - July 28, 2026. FY2026 Q4 management call. Latest earnings-call operating milestones, EB, edge and guidance.
- **STX-4** - April 28, 2026. FY2026 Q3 official call transcript. Prior management call; actual $3,112M revenue, $1,463M adjusted GP and $1,167M OP checked against the company release.
- **STX-5** - September 10, 2026. Goldman Sachs conference - Seagate management. More recent confirmation of mix, margin direction and capital allocation.
- **STX-6** - September 21, 2026 close. STX dated market snapshot. Header price only; does not determine Base or ceilings.
- **STX-7** - April 28, 2026. FY2026 Q3 results. Prior-quarter numerical anchor.
- **D1** - July 30, 2026. Amazon Q2 management call. Management cash-capex outlook: $220B in CY2026; increase partly reflects memory cost inflation.
- **D2** - July 29, 2026. Microsoft FY2026 Q4 management call. CY2026 capex about $175B after lease classification change; physical investment expectations unchanged.
- **D3** - July 22, 2026. Alphabet Q2 management call. CY2026 capex $195-205B; use $200B midpoint.
- **D4** - July 29, 2026. Meta Q2 results. CY2026 capex including principal finance-lease payments $130-145B; use $137.5B midpoint.

Model snapshot: October 8, 2026; latest reported earnings and market quote retain their original dates. STX. Framework 8.0. Base 47/60 (78%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My Drive/1amInvesting/Artifacts/STX_Seagate_DeepDive.pdf and .md. The companion company worksheet uses this same model and links its ceiling series to the master portfolio.